

Avenue Supermarts Ltd | DMART | Consumer Discretionary

Avenue Supermarts Limited (DMart) is a national supermarket chain, with a focus on value-retailing. We offer a wide range of products with a focus on the Foods, Non-Foods (FMCG) and General Merchandise & Apparel product categories

Key Performance Indicators

|        |        |       |      |              |          |
|--------|--------|-------|------|--------------|----------|
| ROE %  | ROCE % | NPM % | D/E  | Rev CAGR 5yr | FCF (Cr) |
| 13.56% | 17.5%  | 4.99% | 0.03 | 20.48%       | 278.0    |

Profit & Loss Summary (Rs. Crore)

| Year    | Sales   | Op Profit | Net Profit | OPM% | EPS  |
|---------|---------|-----------|------------|------|------|
| 2017-03 | 11898.0 | 969.0     | 479.0      | 8.0% | 8.0  |
| 2018-03 | 15033.0 | 1353.0    | 806.0      | 9.0% | 13.0 |
| 2019-03 | 20005.0 | 1633.0    | 902.0      | 8.0% | 14.0 |
| 2020-03 | 24870.0 | 2128.0    | 1301.0     | 9.0% | 20.0 |
| 2021-03 | 24143.0 | 1745.0    | 1099.0     | 7.0% | 17.0 |
| 2022-03 | 30976.0 | 2502.0    | 1492.0     | 8.0% | 23.0 |
| 2023-03 | 42840.0 | 3639.0    | 2378.0     | 8.0% | 37.0 |
| 2024-03 | 50789.0 | 4106.0    | 2536.0     | 8.0% | 39.0 |

Key Ratios Trend

| Year    | ROE%   | ROCE%  | D/E  | FCF(Cr) | Rev CAGR |
|---------|--------|--------|------|---------|----------|
| 2019-03 | 16.14% | 22.6%  | 0.13 | -151.0  | 33.68%   |
| 2020-03 | 11.74% | 15.37% | 0.03 | -3377.0 | 31.03%   |
| 2021-03 | 9.02%  | 10.58% | 0.03 | 265.0   | 22.98%   |
| 2022-03 | 10.91% | 13.99% | 0.05 | 83.0    | 21.09%   |
| 2023-03 | 14.79% | 17.94% | 0.04 | 317.0   | 23.3%    |
| 2024-03 | 13.56% | 17.5%  | 0.03 | 278.0   | 20.48%   |

## Avenue Supermarts Ltd | DMART | Consumer Discretionary

### Balance Sheet Summary (Rs. Crore)

| Year    | Equity | Reserves | Borrowings | Total Assets |
|---------|--------|----------|------------|--------------|
| 2019-03 | 624.0  | 4963.0   | 700.0      | 7006.0       |
| 2020-03 | 648.0  | 10432.0  | 333.0      | 12076.0      |
| 2021-03 | 648.0  | 11536.0  | 393.0      | 13655.0      |
| 2022-03 | 648.0  | 13030.0  | 647.0      | 15471.0      |
| 2023-03 | 648.0  | 15430.0  | 643.0      | 18105.0      |
| 2024-03 | 651.0  | 18047.0  | 592.0      | 21172.0      |

### Cash Flow Statement (Rs. Crore)

| Year    | CFO    | CFI     | CFF    | Net Cash |
|---------|--------|---------|--------|----------|
| 2022-03 | 1372.0 | -1289.0 | -179.0 | -96.0    |
| 2023-03 | 2630.0 | -2313.0 | -205.0 | 112.0    |
| 2024-03 | 2746.0 | -2468.0 | -148.0 | 130.0    |

### Capital Allocation Pattern

#### Reinvestor

#### Strengths

- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

#### Concerns

- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss